

| BCI |

DEEP SLIDE

The *BT-C* Fore Business Confidence Index is at its lowest in five quarters. That is a worrying sign for an economy that is buoyant relative to developed markets

BY ALOKESH BHATTACHARYYA

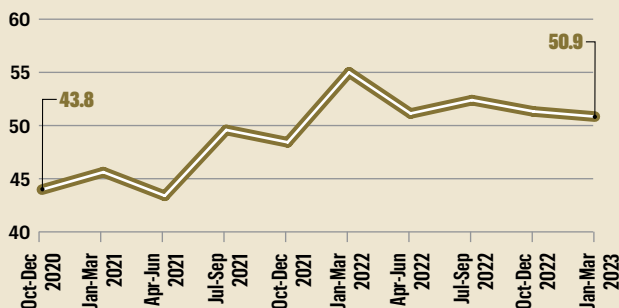
12 | ► **INDIA'S ECONOMY SEEMS** to be well-placed compared to other major economies. GDP growth is expected to clock an impressive 7 per cent in FY23. Exports in the fiscal, too, were the highest ever at more than \$450 billion. In March 2023, consumer price inflation (CPI) moderated to 5.66 per cent from 6.44 per cent in February, and wholesale price inflation (WPI) dipped to 1.34 per cent in March compared to 3.85 per cent in February. Plus, GST collections were the highest ever in April 2023 at ₹1.87 lakh crore, indicating high business activity, as per data from CMIE Economic Outlook.

Still, the business community appears unconvinced about growth prospects, with the *BT-C* Fore Business Confidence Survey (of 500 CEOs and CFOs) receiving increasingly negative sentiments, captured in the clear fall in the Business Confidence Index (BCI). After peaking at 55.2 in January-March of 2022, the BCI slipped to 50.9 in January-March 2023 (see chart *Dip, Dip, Dip...*).

What explains this dissonance? "The pessimism is likely to have been driven by the ongoing weakness in India's merchandise exports, led by the slowdown in the global economy," says Aditi Nayar, Chief Economist of ICRA. "The country's non-oil merchandise exports fell by 5.6 per cent YoY in Q4FY23, amid a sharp fall in exports of several items including leather and leather products, chemicals, engineering goods, ready-made garments, textiles, and gems and jewellery. ICRA expects merchandise exports to contract by around 6-7 per cent in FY24." Adds Dharmakirti Joshi, Chief Economist of CRISIL: "A combination of 250 bps cumulative rate hike since May 2022 and tightening of liquidity has pushed the nominal lending rates above pre-pandemic

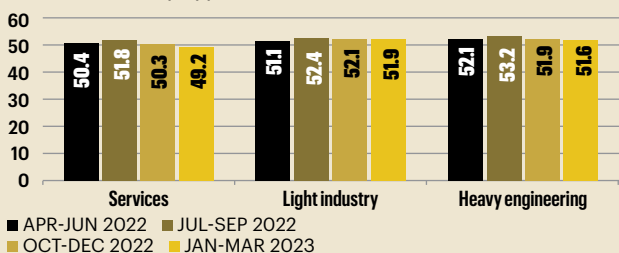
DIP, DIP, DIP...

Business confidence is at a five-quarter low

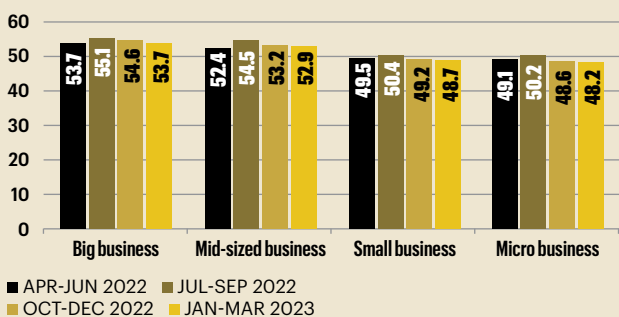


ON A SCALE OF 100

BCI slips for two successive quarters across industry types...



...and across business sizes as well



Expectations for Q1FY24 are lower than the reality of Q4FY23

